In sum, while populism poses clear challenges for IOs, it can also serve as a wake-up call for IOs to address inefficiencies and inequities. The extent and success of these reforms depends on the severity and scope of the populist threat, as well as the willingness of member states and IO leadership to rise to the occasion.

9.3.3 Autonomy

When IOs face populist threats, they often seek to bolster their autonomy by enhancing their expertise, expanding their operational capabilities, and forging stronger ties with peer institutions. While such moves can enable IOs to navigate around hostile actors and safeguard their missions, they also carry significant implications for global governance.

On the positive side, greater autonomy can make IOs more efficient and adaptable. Autonomy empowers IOs to employ in-house experts who can develop innovative solutions to complex, transnational problems. Freed from the need for constant member approval, autonomous organizations can experiment with cutting-edge strategies, streamline operations, and adopt flexible funding models. For instance, the AIIB was specifically designed with fewer procedural checks compared with the World Bank, enabling it to disburse loans more rapidly. This streamlined approach highlights how a lean bureaucracy and concentrated executive authority can enhance agility, particularly in responding to crises or emerging political and economic disruptions like populism.

However, IOs that function with minimal member-state oversight are also susceptible to mission creep, where they venture into areas beyond their original mandates. This can lead to the diversion of resources from core priorities to peripheral issues, overextending their capabilities and creating inefficiencies. Institutional overlap, in turn, may encourage “forum shopping,” where states and other actors choose among competing IOs to find one that aligns with their interests (Busch 2007), further diluting the effectiveness of global governance structures.

Accountability poses another significant challenge. As IOs gain autonomy, they may become less responsive to their member states, fueling perceptions of a democratic deficit. Decisions made without robust member input can deepen concerns over sovereignty, particularly among populist